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1. Can Lending Hierarchies Balance Bias? The Role of Personal Environmental Values in Credit to Green Firms

Authors: Di Bu, Matti Keloharju, Yin Liao, Steven Ongena

DOI: [10.1017/s0022109025102561](https://doi.org/10.1017/s0022109025102561)

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, ESG/Sustainable Finance, Behavioral Finance
- **Theories:** Agency Theory, Behavioral Bias, Organizational Economics, Information Asymmetry

Abstract:

How do bankers treat green firms? Using unique loan application and banker preference data from a mid-sized bank, we find that customer managers, serving as front-line bankers, give more favorable recommendations to green firms, especially when they hold green values themselves. However, a minority of environmentally skeptical loan officers, aware through internal training that customer managers generally have greener preferences, counter this by downgrading positive evaluations of green firms. Despite not knowing the customer manager's identity, these officers use their discretion to mitigate what they perceive as green biases, demonstrating the significant moderating role of superiors within the bank's hierarchy.

Bu - Can Lending Hierarchies Balance Bias The Role of Personal Environmental Values i.pdf

2. CEO Compensation Changes Following Acquisitions

Authors: Leonce Barger, David J. Denis

DOI: [10.1017/s002210902510255x](https://doi.org/10.1017/s002210902510255x)

Fields & Theories:

- **Fields:** Corporate Finance, Executive Compensation, Mergers and Acquisitions
- **Theories:** Adverse Selection, Contracting Theory, Agency Theory

Abstract:

We find that CEO compensation increases following acquisitions only in those deals in which acquirer stock is used as the method of payment. These compensation increases are driven by increases in equity-based compensation and are concentrated in riskier acquirers, in riskier acquisitions, and in acquirers whose CEOs have low exposure to the stock price. We find little support for traditional agency cost explanations of changes in CEO pay following acquisitions. However, our findings are broadly consistent with compensation changes representing a contracting solution to a two-sided adverse selection problem that is present only in stock acquisitions.

Barger - CEO Compensation Changes Following Acquisitions.pdf

3. The Crash Risk in Individual Stocks Embedded in Skewness Swap Returns

Authors: Paola Pederzoli

DOI: [10.1017/s0022109025102445](https://doi.org/10.1017/s0022109025102445)

Fields & Theories:

- **Fields:** Asset Pricing, Derivatives, Market Microstructure
- **Theories:** Risk Premium, No-Arbitrage Pricing, Crash Risk Theory

Abstract:

This article investigates crash risk premiums in individual stocks using skewness swaps. These swaps involve buying a stock's risk-neutral skewness and receiving the realized skewness as a payoff. The strategy's returns,

which measure the skewness risk premium, are found to be consistently large and positive. This suggests investors are concerned about potential crashes in individual stocks and require substantial compensation for bearing this risk. Notably, significant results are mainly observed after the 2007/2009 financial crisis, indicating changes in post-crisis option market dynamics. Cross-sectional determinants of skewness swap returns include measures of systematic crash risk and stock overvaluation.

Pederzoli - The Crash Risk in Individual Stocks Embedded in Skewness Swap Returns.pdf

4. Debt and Taxes: The Role of Tax Avoidance

Authors: Peter Brok

DOI: [10.1017/s0022109025102500](https://doi.org/10.1017/s0022109025102500)

Fields & Theories:

- **Fields:** Corporate Finance, Public Finance, Capital Structure
- **Theories:** Trade-off Theory, Non-debt Tax Shield

Abstract:

Empirically, the effect of corporate tax rates on leverage has been smaller than expected based on trade-off theory. In this article, I show that tax avoidance functions as a non-debt tax shield, reducing the benefits of the debt tax shield. I find that higher tax rates cause higher non-debt tax avoidance, which crowds out the debt tax shield. Moreover, I show that the strength of the relationship between debt and tax rates depends on the level of tax avoidance. A 1-standard-deviation higher tax rate implies 2.8% higher leverage for low tax avoidance firms, but has a negative effect for high tax avoidance firms.

Brok - Debt and Taxes The Role of Tax Avoidance.pdf

5. Match to Grow

Authors: Nasim Sabah, Michael Zheng

DOI: [10.1017/s0022109026102579](https://doi.org/10.1017/s0022109026102579)

Fields & Theories:

- **Fields:** Corporate Finance, Labor Economics, Human Capital
- **Theories:** Matching Theory, Adjustment Costs

Abstract:

This study proposes a specific channel through which labor markets facilitate firm growth: the occupational alignment between an establishment's workforce and local skills. Using occupational employment statistics, we construct an index that compares each establishment's occupational mix to that of its local market. Establishments with higher alignment grow faster in sales and employment. This growth comes primarily through lower adjustment costs and higher capital investment. We also show that the effects are most pronounced in establishments with a higher share of skilled workers and industries with higher idiosyncratic cash flow risk. This employee-firm matching channel helps explain how local labor markets translate into competitive advantage.

Sabah - Match to Grow.pdf

6. Who Prices Credit Rating Inflation?

Authors: Christoph Herpfer, Gonzalo Maturana

DOI: [10.1017/s0022109025102391](https://doi.org/10.1017/s0022109025102391)

Fields & Theories:

- **Fields:** Financial Intermediation, Credit Risk, Corporate Finance

- **Theories:** Conflicts of Interest, Information Asymmetry, Moral Hazard

Abstract:

Credit rating agencies (CRAs) are less likely and slower to downgrade firms with performance-sensitive debt (PSD) if these downgrades increase borrowing costs. This effect is stronger when CRAs rate their most profitable clients and is not driven by selection into PSD contracts, by borrowers adjusting their leverage, or by borrowers hiding information. Originating banks price the CRAs' conflicts of interest and sell loans with more embedded conflicts more frequently. In contrast, secondary market participants do not price conflicts of interest to the same extent. The recent settlements between the major CRAs and the U.S. government do not prevent rating inflation.

Herpfer - Who Prices Credit Rating Inflation.pdf

7. A Catering Theory of Earnings Guidance: Empirical Evidence and Stock Market Implications

Authors: Nils Lohmeier, Hannes Mohrschladt

DOI: [10.1017/s0022109026102580](https://doi.org/10.1017/s0022109026102580)

Fields & Theories:

- **Fields:** Corporate Finance, Behavioral Finance, Financial Reporting
- **Theories:** Catering Theory, Reference Point-Dependent Preferences, Information Asymmetry, Behavioral Bias

Abstract:

We propose and test a catering theory of earnings guidance. As predicted by our model, managers cater to reference point-dependent investor preferences by issuing excessively optimistic earnings forecasts if their investors have experienced poor stock returns. Moreover, earnings guidance is most biased when managers strongly discount future outcomes, when the stock's payoff uncertainty is high, and when managers face low costs for issuing inaccurate forecasts. Catering via earnings guidance succeeds in moving stock market prices and induces mispricing which is partially corrected around the corresponding final earnings announcement.

Lohmeier - A Catering Theory of Earnings Guidance Empirical Evidence and Stock Market Impli.pdf

8. Judge Ideology and Corporate Tax Planning

Authors: Travis Chow, Allen H. Huang, Kai Wai Hui, Terry Shevlin

DOI: [10.1017/s0022109026102622](https://doi.org/10.1017/s0022109026102622)

Fields & Theories:

- **Fields:** Corporate Finance, Law and Finance, Public Finance
- **Theories:** Political Economy, Deterrence Theory, Agency Theory

Abstract:

We investigate whether judges' political ideology affects corporate tax behaviors. We find that firms engaging in less aggressive tax planning when Circuit Court judges are more liberal. Cross-sectionally, the deterrent effect of liberal judge ideology is more pronounced for firms that engage in judiciary-sensitive tax strategies, face higher enforcement risk from the Internal Revenue Service (IRS), or have larger reputational costs from tax disputes. Our findings further suggest that liberal judge ideology reduces firms' R&D investments and market value by constraining tax planning. Overall, our evidence highlights the importance of judge ideology for firm behavior in the context of corporate tax planning.

Chow - Judge Ideology and Corporate Tax Planning.pdf

The Journal of Finance

1. Default Risk and the Pricing of U.S. Sovereign Bonds

Authors: ROBERT F. DITTMAR, ALEX HSU, GUILLAUME ROUSSELLET, PETER SIMASEK

DOI: [10.1111/jofi.70014](https://doi.org/10.1111/jofi.70014)

Fields & Theories:

- **Fields:** Asset Pricing, Fixed Income, Macro-Finance, Credit Risk
- **Theories:** Affine Term Structure Model, No-Arbitrage Pricing, General Equilibrium

Abstract:

We examine the relative pricing of nominal Treasury bonds and Treasury inflation-protected securities in the presence of U.S. default risk. Hedged breakeven inflation is significantly positively related to U.S. default risk, driven by correlation between shocks to default risk and both shocks to inflation swap premia and Treasury yields. To understand the mechanisms through which default risk is related to inflation swaps and sovereign yields, we estimate an affine term structure model to capture their joint dynamics. Our estimation implies that the interaction between inflation dynamics and default is the primary source of differential pricing.

DITTMAR - Default Risk and the Pricing of U.S. Sovereign Bonds.pdf

2. Corporate ESG Profiles and Investor Horizons

Authors: LAURA T. STARKS, PARTH VENKAT, QIFEI ZHU

DOI: [10.1111/jofi.70008](https://doi.org/10.1111/jofi.70008)

Fields & Theories:

- **Fields:** Asset Pricing, ESG/Sustainable Finance, Institutional Investors, Behavioral Finance
- **Theories:** Limits to Arbitrage, Information Asymmetry, Investor Horizon Theory

Abstract:

We find that long-term institutional investors tilt their portfolios toward firms with better Environmental, Social, and Governance (ESG) profiles, in the cross sections of both institutional investor portfolios and the ownership of firms. We test whether several theoretically motivated mechanisms can explain this relationship. Our results that long-term investors exhibit patience with firms around poor earnings announcements, but quickly sell portfolio firms after negative ES incidents, support the view that long- and short-term investors evaluate information differently. Our evidence shows that limits-to-arbitrage play a role, as we find that investors' ESG tilt weakens following regulatory shocks that shorten their horizon.

STARKS - Corporate ESG Profiles and Investor Horizons.pdf

3. Institutional Investor Attention

Authors: ALAN KWAN, YUKUN LIU, BEN MATTHIES

DOI: [10.1111/jofi.70009](https://doi.org/10.1111/jofi.70009)

Fields & Theories:

- **Fields:** Asset Pricing, Behavioral Finance, Institutional Investors
- **Theories:** Rational Inattention, Information Acquisition, Portfolio Choice

Abstract:

Using data on Internet news reading, we measure fund-level attention to both aggregate and firm-specific news and relate it to fund portfolio allocation decisions. In the time series, we find that funds shift attention toward macroeconomic news during periods of high aggregate volatility. Those funds that exhibit stronger attention-reallocation patterns earn higher future returns. In the cross-section of fund portfolios, fund attention is positively related to stock holdings. Furthermore, fund attention to a stock increases the

value-add of that position to the fund's performance. This relationship is stronger using fund attention to more value-relevant news articles.

KWAN - Institutional Investor Attention.pdf

4. Investor Composition and the Liquidity Component in the U.S. Corporate Bond Market

Authors: JIAN LI, HAIYUE YU

DOI: [10.1111/jofi.70024](https://doi.org/10.1111/jofi.70024)

Fields & Theories:

- **Fields:** Asset Pricing, Market Microstructure, Financial Intermediation, Fixed Income
- **Theories:** Liquidity Risk, Investor Heterogeneity, Credit Spreads

Abstract:

The link between corporate bond credit spreads and secondary market illiquidity in the cross section has grown stronger since 2005, resulting in a higher liquidity component in credit spreads. Using U.S. investor holdings data, we show that short-term investors (e.g., mutual funds/exchange-traded funds [ETFs]) increase trading activities in the secondary market, amplifying the effect of secondary market frictions on prices. We provide a model featuring heterogeneous investors with different trading needs and heterogeneous bonds to investigate the impact of the rapid-growing mutual fund/ETF sector on the corporate bond market. We find the change in investor composition can quantitatively explain the aggregate trend.

LI - Investor Composition and the Liquidity Component in the U.S. Corporate Bond Mark.pdf

5. Model Ambiguity versus Model Misspecification in Dynamic Portfolio Choice

Authors: PASCAL J. MAENHOUT, HAO XING, ANNE G. BALTER

DOI: [10.1111/jofi.70027](https://doi.org/10.1111/jofi.70027)

Fields & Theories:

- **Fields:** Asset Pricing, Behavioral Finance, Portfolio Choice
- **Theories:** Model Ambiguity, Model Misspecification, Intertemporal Hedging, Robust Control

Abstract:

We study aversion to model ambiguity and misspecification in dynamic portfolio choice. Risk-averse investors (relative risk aversion $\gamma > 1$) fear return persistence, while risk-tolerant investors ($0 < \gamma < 1$) fear mean reversion, when confronting model misspecification concerns of identically and independently distributed (IID) returns. The intuition is that risk-averse investors, who want to hedge intertemporally, endogenously fear return persistence, which precludes hedging. A log investor is myopic and unaffected by model misspecification, therefore only worrying about model ambiguity. Our model can generate belief scarring, nonparticipation in equity markets, and extrapolative return expectations. Extending beyond IID returns, we study model misspecification for a mean-reverting Sharpe ratio.

MAENHOUT - Model Ambiguity versus Model Misspecification in Dynamic Portfolio Choice.pdf

6. Deposit Inflows and Outflows in Failing Banks: The Role of Deposit Insurance

Authors: CHRISTOPHER MARTIN, MANJU PURI, ALEXANDER UFIER

DOI: [10.1111/jofi.70007](https://doi.org/10.1111/jofi.70007)

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Financial Regulation, Deposit Insurance
- **Theories:** Depositor Discipline, Moral Hazard, Bank Runs

Abstract:

Using unique, daily, account-level data, we investigate deposit outflows and inflows in a distressed bank. We observe an outflow of uninsured depositors following bad regulatory news. Both regular and temporary deposit insurance reduce outflows. We provide important new evidence that, simultaneous with deposit outflows, deposit inflows are first order. Uninsured deposit outflows were largely offset with new insured deposit inflows as the bank approached failure, with the bank increasing term deposit rates. This phenomenon holds in a large sample of banks that faced regulatory action, suggesting that insured deposit inflows are an important mechanism that weakens depositor discipline.

MARTIN - Deposit Inflows and Outflows in Failing Banks The Role of Deposit Insurance.pdf

7. Bank Monitoring with On-Site Inspections

Authors: Amanda Rae Heitz, Christopher Martin, Alexander Ufier

DOI: [10.1111/jofi.70026](https://doi.org/10.1111/jofi.70026)

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Credit Risk
- **Theories:** Monitoring Theory, Information Asymmetry, Agency Theory

Abstract:

Using proprietary transaction-level data on nonsyndicated construction loans, we provide some of the first empirical evidence on the drivers and consequences of bank monitoring through on-site inspections. Banks trade off monitoring intensity with favorable origination terms. Monitoring intensity escalates in response to local economic downturns or the bank's financial instability. Borrowers with negative inspection reports have more draw requests denied, suggesting that monitoring outcomes impact credit decisions. Both the occurrence and threat of increased inspection frequency correspond to reduced defaults. Overall, our results provide empirical support for a substantial body of theoretical literature on bank monitoring.

Heitz - Bank Monitoring with On-Site Inspections.pdf

8. Monetary Policy, Inflation, and Crises: Evidence from History and Administrative Data

Authors: GABRIEL JIMÉNEZ, DMITRY KUVSHINOV, JOSÉ-LUIS PEYDRÓ, BJÖRN RICHTER

DOI: [10.1111/jofi.70023](https://doi.org/10.1111/jofi.70023)

Fields & Theories:

- **Fields:** Financial Intermediation, Monetary Policy, Banking, Macro-Finance
- **Theories:** Credit Cycle Theory, Risk-Taking Channel of Monetary Policy, Instrumental Variables

Abstract:

We show that a U-shaped monetary rate path increases banking crisis risk, via credit and asset price cycles, analyzing 17 countries over 150 years. Rate hikes (raw or instrumented) increase crisis risk, but only if preceded by prolonged cuts. These patterns are unique to banking crises, unlike noncrisis recessions. Regarding the mechanism, prolonged cuts raise the likelihood of large credit and asset price booms, consistent with higher credit supply and risk-taking. Subsequent hikes strongly reduce credit and asset prices, and increase banks' realized credit risk, rather than interest rate risk. We find consistent results in administrative loan-level data for Spain.

JIMÉNEZ - Monetary Policy, Inflation, and Crises Evidence from History and Administrative.

9. Monetary Policy and Wealth Effects: The Role of Risk and Heterogeneity

Authors: NICOLAS CARAMP, DEJANIR H. SILVA

DOI: [10.1111/jofi.70021](https://doi.org/10.1111/jofi.70021)

Fields & Theories:

- **Fields:** Monetary Policy, Asset Pricing, Macro-Finance
- **Theories:** Heterogeneous Agent New Keynesian (HANK) Model, Rare Disasters, Precautionary Savings, General Equilibrium

Abstract:

We study the role of asset revaluation in the monetary transmission mechanism. We build an analytical heterogeneous-agents model with two main ingredients: (i) rare disasters and (ii) heterogeneous beliefs. The model captures time-varying risk premia and precautionary savings in a setting that nests the textbook New Keynesian model. The model generates large movements in asset prices after a monetary shock but these movements can be neutral on real variables. Real effects depend on the redistribution among agents with heterogeneous precautionary motives. In quantitative analysis, we find that this channel can account for a large fraction of the transmission to aggregate consumption.

CARAMP - Monetary Policy and Wealth Effects The Role of Risk and Heterogeneity.pdf

10. The Dollar during the Great Recession: The Information Channel of U.S. Monetary Policy and the “Flight to Safety”

Authors: VANIA STAVRAKEVA, JENNY TANG

DOI: [10.1111/jofi.70025](https://doi.org/10.1111/jofi.70025)

Fields & Theories:

- **Fields:** International Finance, Monetary Policy, Asset Pricing
- **Theories:** Information Channel of Monetary Policy, Flight-to-Safety, Forward Guidance, Rational Expectations

Abstract:

Conventional wisdom holds that lowering a home country’s interest rate relative to another’s will depreciate the domestic currency. We document that, at business-cycle frequencies, U.S. forward guidance monetary policy easings had the opposite effect during the Great Recession. We attribute this effect to calendar-based forward guidance that signaled economic weakness, resulting in a “flight-to-safety” effect and lower expected U.S. inflation. We also document cross-currency heterogeneity: a surprise U.S. rate cut induced a larger appreciation of the dollar against currencies that typically depreciate more when the world economy is contracting. We build a model that can reconcile these findings.

STAVRAKEVA - The Dollar during the Great Recession The Information Channel of U.S. Monetary P.pdf

The Review of Financial Studies

1. Price Discovery on Decentralized Exchanges

Authors: Agostino Capponi, Ruizhe Jia, Shihao Yu

DOI: [10.1093/rfs/hhag002](https://doi.org/10.1093/rfs/hhag002)

Fields & Theories:

- **Fields:** Market Microstructure, Fintech, Decentralized Finance
- **Theories:** Price Discovery, Information Asymmetry, Game Theory

Abstract:

Decentralized exchanges (DEXs) allow traders to express their willingness to pay for quick execution through a public priority fee bidding mechanism. We provide evidence that high-fee DEX trades are more informative and contribute more to price discovery. Using address-level blockchain transaction data, we show that informed traders persistently bid higher fees to secure early execution, revealing a strong willingness to pay for execution priority. Further, analysis of Ethereum mempool data demonstrates that informed traders employ a “jump bidding” strategy, placing high initial bids to deter potential competitors.

Capponi - Price Discovery on Decentralized Exchanges.pdf

2. Investor-Driven Corporate Finance: Evidence from Insurance Markets

Authors: Christian Kubitz

DOI: [10.1093/rfs/hhag003](https://doi.org/10.1093/rfs/hhag003)

Fields & Theories:

- **Fields:** Corporate Finance, Financial Intermediation, Institutional Investors, Bond Markets
- **Theories:** Price Impact, Financing Constraints, Liquidity Shocks

Abstract:

I study the effect of bond investor demand on the financing and investment decisions of nonfinancial firms using granular data on the bond transactions of insurance companies. Liquidity inflows from insurance premiums combined with insurers’ persistent investment preferences identify bond demand shifts in the secondary market. These raise bond prices and reduce firms’ financing costs. In response, firms issue more bonds, especially when they have well-connected bond underwriters. The proceeds are used for investment activities, particularly by financially constrained firms. My findings emphasize that bond investors significantly affect corporate decisions through their price impact.

Kubitz - Investor-Driven Corporate Finance Evidence from Insurance Markets.pdf

3. Dividend Momentum and Stock Return Predictability: A Bayesian Approach

Authors: Juan Antolín-Díaz, Ivan Petrella, Juan Rubio-Ramírez

DOI: [10.1093/rfs/hhaf110](https://doi.org/10.1093/rfs/hhaf110)

Fields & Theories:

- **Fields:** Asset Pricing, Financial Econometrics, Macro-Finance
- **Theories:** Campbell-Shiller Identity, Bayesian Shrinkage, Return Predictability, Dividend Momentum

Abstract:

A long tradition in macro-finance studies the dynamics of aggregate stock returns and dividends using vector autoregressions, imposing the restrictions implied by the Campbell-Shiller (CS) identity to sharpen inference. We develop Bayesian methods that encode a priori skepticism about return predictability while imposing the restrictions. We highlight that persistence in dividend growth induces “dividend momentum,” a previously overlooked channel for return predictability. By combining Bayesian shrinkage and the CS restrictions, we obtain more plausible degrees of return predictability, superior out-of-sample forecasts, and Sharpe ratios, which cannot be obtained by using either shrinkage or the CS restrictions on their own.

Antolín-Díaz - Dividend Momentum and Stock Return Predictability A Bayesian Approach.pdf

4. ESG Shocks in Global Supply Chains

Authors: Emilio Bisetti, Guoman She, Alminas Žaldokas

DOI: [10.1093/rfs/hhag001](https://doi.org/10.1093/rfs/hhag001)

Fields & Theories:

- **Fields:** Corporate Finance, ESG/Sustainable Finance, International Finance
- **Theories:** Investor Pressure, Real Effects, Supply Chain Reallocation

Abstract:

We show that U.S. firms cut imports by 31.8% when their international suppliers experience environmental and social (E&S) incidents. These trade cuts are larger for publicly listed U.S. importers facing high E&S investor pressure and lead to cross-country supplier reallocation, suggesting that E&S preferences in capital markets can be privately costly but have real effects for foreign suppliers. Larger trade cuts around the incident result in better supplier E&S performance in subsequent years and in the eventual resumption of trade. Our results highlight the role of investors in ensuring suppliers' E&S compliance along global supply chains.

Bisetti - ESG Shocks in Global Supply Chains.pdf

5. The Impact of Bank Consolidation on Credit Supply and Performance

Authors: Sergio Mayordomo, Nicola Pavanini, Emanuele Tarantino

DOI: [10.1093/rfs/hhaf107](https://doi.org/10.1093/rfs/hhaf107)

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Corporate Finance
- **Theories:** Difference-in-Differences, Structural Modeling, Screening Costs

Abstract:

Between 2009 and 2011, the Spanish banking system underwent a restructuring process based on savings banks' consolidation. The program's design allows us to study how banks' consolidation affects credit supply and performance. We propose a quasi-experimental analysis showing that bank mergers restrict credit supply and set higher interest rates but also reject fewer applicants and report fewer nonperforming loans. We then estimate a structural model of credit in which banks set interest rates and lending standards. We find that, despite the relaxation in their lending standards, merged banks' credit performance improved thanks to a significant drop in their screening costs.

Mayordomo - The Impact of Bank Consolidation on Credit Supply and Performance.pdf

6. Remotely Productive: The Efficacy of Remote Work for Executives

Authors: Ran Duchin, Denis Sosyura

DOI: [10.1093/rfs/hhag005](https://doi.org/10.1093/rfs/hhag005)

Fields & Theories:

- **Fields:** Corporate Finance, Corporate Governance
- **Theories:** Agency Theory, Information Asymmetry, Instrumental Variables, Moral Hazard

Abstract:

We study the efficacy of remote arrangements between CEOs and firms. Such arrangements attract executive talent and overcome labor market segmentation but introduce frictions. Remote arrangements are associated with lower operating performance, firm valuation, and insider reviews. Using the private costs from uprooting the CEO's spouse as an instrument for the CEO's decision to seek remote work, we find similar negative effects. The performance decline increases for CEOs who live further away and who cross multiple time zones. The mechanisms include the CEO's loss of information, short-termism, and consumption of leisure, such as recreational boats and beach homes.

Duchin - Remotely Productive The Efficacy of Remote Work for Executives.pdf

7. The Impact of Carcinogenic Risk Exposure on Housing Values: Estimates from Chemical Re-classifications

Authors: Jules van Binsbergen, João F Cocco, Marco Grotteria, S Lakshmi Naaraayanan

DOI: [10.1093/rfs/hhag006](https://doi.org/10.1093/rfs/hhag006)

Fields & Theories:

- **Fields:** Real Estate Finance, Environmental Finance, Household Finance
- **Theories:** Difference-in-Differences, Saliency Theory, Hedonic Pricing, Information Asymmetry

Abstract:

We quantify the impact of perceived cancer risk on housing values using widely advertised national reclassifications of chemical carcinogenicity in the United States. Combining these information events with an empirical design that compares changes in house values closer to affected toxic plants against those farther away isolates the effect of cancer risk news from other local factors. Focusing on plants previously emitting reclassified carcinogenic chemicals, we estimate a 1–2% decline in housing values within a 3-mile radius compared to those located farther away. The effects are stronger in areas with higher media presence underscoring the role of saliency as a mechanism.

Binsbergen - The Impact of Carcinogenic Risk Exposure on Housing Values Estimates from Chemic.pdf

8. Is Fraud Contagious? Social Connections and the Looting of COVID Relief Programs

Authors: John M Griffin, Samuel Kruger, Prateek Mahajan

DOI: [10.1093/rfs/hhag004](https://doi.org/10.1093/rfs/hhag004)

Fields & Theories:

- **Fields:** Financial Intermediation, Behavioral Finance, Banking
- **Theories:** Social Network Theory, Peer Effects, Information Diffusion

Abstract:

Fraud indicators within the Paycheck Protection Program (PPP), a major COVID relief program, are highly geographically concentrated. ZIP codes and counties with high rates of suspicious PPP loans are strongly socially connected, with evidence that fraud spreads spatially over time through social networks. Individuals in suspicious social media groups have higher rates of PPP fraud, and socially connected ZIP codes frequently use the same specific FinTech lenders, consistent with social networks influencing detailed loan decisions. Our findings suggest that more proactive data analysis is needed for fraud prevention, detection, and prosecution to prevent the social spread of fraudulent schemes.

Griffin - Is Fraud Contagious Social Connections and the Looting of COVID Relief Programs.

Review of Finance

1. Side effects of separating retail and investment banking: Evidence from the United Kingdom

Authors: Matthieu Chavaz, David Elliott

DOI: [10.1093/rof/rfaf071](https://doi.org/10.1093/rof/rfaf071)

Fields & Theories:

- **Fields:** Financial Intermediation, Financial Regulation, Banking
- **Theories:** Ring-fencing, Cross-subsidization, Risk-taking

Abstract:

The idea of separating retail and investment banking remains controversial. Exploiting the introduction of UK ring-fencing requirements, we show that this separation has a range of previously undocumented side effects for credit supply, competition, and risk-taking in credit markets not directly targeted by the reform. By redirecting the benefits of deposit funding toward retail activities, ring-fencing incentivises universal banks to expand mortgage lending. This rebalancing reduces the cost of household credit, without eroding lending standards. But it also increases mortgage market concentration, pushes smaller banks toward riskier lending, and is mirrored by a reduction in syndicated loans and credit lines.

Chavaz - Side effects of separating retail and investment banking Evidence from the Unite.pdf

2. Tax revenue from realized capital gains

Authors: Paul Ehling, Stathis Tompaidis, Chunyu Yang

DOI: [10.1093/rof/rfaf078](https://doi.org/10.1093/rof/rfaf078)

Fields & Theories:

- **Fields:** Public Finance, Asset Pricing, Household Finance, Taxation
- **Theories:** Portfolio Choice Theory, Rational Expectations

Abstract:

The tax rate on capital gains of equity has varied substantially over time and correlates negatively with realized capital gains and tax revenue. In our model, investors who anticipate the dynamics of the tax rate in their bond–equity mix realize greater gains when realized equity returns are higher, the capital gains tax rate is lower, and capital losses carried forward are larger. Simulating a calibrated population of investors produces model data consistent with tax revenue from capital gains realizations. Our model can inform the policymaker’s choice of the capital gains tax rate.

Ehling - Tax revenue from realized capital gains.pdf
